

potential. Since a good part of the earnings are distributed as dividends, the company can plough back less earnings into expansion of its business. Hence it is likely to have a limited upside potential.

To conclude, while deciding which stocks to invest in based on the cash flow guidelines, you should look for mature companies that yield high dividends. If you are looking for more capital gains rather than cash flow, you should look for stocks which may not provide high dividends but have more growth potential (and are investing their earnings in growth).

A mature investor will typically invest for cash flow and only when they have enough wealth to set themselves financially free, will they want to take certain risks with companies that yield low dividends, but have high growth potential.

What is a demat account?

A demat account is short for "dematerialized account" i.e. holding shares in an electronic form rather than in a physical form (paper). The electronic holdings are reflected in an online account usually held with a Depository Participant⁴² (DP), which is an institution authorized by a depository to act on its behalf. A DP could also be an authorized bank.

A demat account is a safe and convenient means of holding securities⁴³ just as a bank account is safe and convenient for funds. Today, practically 99.9% settlement (of shares) takes place in the demat mode only.

You will need a demat account whether you want to invest in gold ETFs, running equities or IPOs. Demat Account is to be opened with a DP of your choice. If you already have shares in the physical form, you should ensure the account is opened under the same set of names that appear on the share certificate; otherwise a new account can be opened in any desired pattern by the investor.

Firstly, choose a DP. I chose HDFC Securities but you could approach any other DP like ICICI Direct, Share Khan, India Bulls, Reliance Money, etc.